

Guesstimate 02: SwiftKart Dark Store Expansion

Domain: Sales and Marketing

Problem Statement

SwiftKart is considering opening a new dark store in Jaipur.

Question

Estimate the number of daily orders required for the store to break even within one year.

Students May Consider

- Population
- Order Frequency
- Delivery Radius
- Average Order Value
- Contribution Margin
- Fixed Operating Costs

Concepts Tested

- Unit Economics
- Break-even Analysis
- Market Demand
- Profitability

How many daily orders does a SwiftKart dark store need to break even within one year?

First, estimate the annual operating cost of one dark store. Assume fixed costs (rent, salaries, utilities and technology) total around ₹3.6 crore per year.

Next, estimate the average order value. Assume customers spend ₹600 per order.

Dark stores earn only the contribution margin after variable costs. Assume the contribution margin is 20%, giving ₹120 contribution per order.

To recover ₹3.6 crore annually, the store must complete $₹3.6 \text{ crore} \div ₹120 \approx 300,000$ orders each year.

Dividing by 365 days gives approximately 822 orders per day.

Rounding up to provide a safety buffer, the store should target about 850 daily orders to comfortably break even.